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Case Number: 23SMCV01044 Hearing Date: July 22, 2026 Dept: 207

TENTATIVE RULING – NO. 1

DEPARTMENT

207

HEARING DATE

July 22, 2026

CASE NUMBER

23SMCV01044

MOTION

Motion to Determine Scope of Stay Pending Appeal of Order Denying Anti-SLAPP Motion

MOVING PARTIES

Plaintiffs Jennifer Flynn Adams and Christopher Adams

OPPOSING PARTIES

Defendants Bessemer Trust Company of California, N.A.; E&TB Investments LLC; Tara Daugherty Broida; Eric Broida, by and through his Guardian ad Litem Tara Broida; Steven J. Dwyer; Elizabeth Kim; and Brad Albert Burstin

BACKGROUND

This case arises from a dispute between landlord and tenant regarding the conditions of real property. Plaintiffs Jennifer Flynn Adams ("Flynn") and Christopher Adams (together, "Plaintiffs") leased with the intent to purchase.

Plaintiffs' operative second amended complaint ("SAC"), alleges fifteen causes of action for (1) breach of statutory duties; (2) negligence; (3) maintenance of a nuisance; (4) trespass; (5) breach of lease agreement; (6) breach of contract; (7) fraud and deceit; (8) negligent misrepresentation; (9) breach of the duty of good faith and fair dealing; (10) quantum meruit; (11) intentional interference with prospective economic advantage; (12) negligent interference with prospective economic advantage; (13) unfair business practices; (14) intentional infliction of emotional distress; and (15) declaratory and injunctive relief.

On April 8, 2024, Defendant and Cross-Complainant E&TB Investments LLC ("E&TB") filed a verified cross-complaint against Plaintiffs for (1) breach of written lease; and (2) declaratory relief. On December 30, 2025, E&TB filed a first amended cross-complaint that was rejected by the clerk due to technical filing requirements. On January 22, 2026, E&TB successfully filed the operative First Amended Cross-Complaint ("FAXC") against Plaintiffs, adding a third cause of action for trespass.

On April 1, 2026, the Court denied Plaintiffs' special motion to strike (anti-SLAPP) the FAXC. On April 16, 2026, Plaintiffs filed a notice of appeal of that order.

Plaintiffs now move for an order clarifying the scope of the stay pending their appeal of the Court's order denying their anti-SLAPP motion. Defendants Bessemer Trust Company of California, N.A.; E&TB Investments LLC; Tara Daugherty Broida; Eric Broida, by and through his Guardian ad Litem Tara Broida; Steven J. Dwyer; Elizabeth Kim; and Brad Albert Burstin ("Defendants") oppose the motion and Plaintiffs reply.

Defendants oppose Plaintiffs' reply as untimely, on the grounds that the motion was originally noticed for July 1, making Plaintiffs' reply deadline June 24, 2026. On June 18, 2026, a day after Defendants timely filed their opposition, pursuant to the original motion briefing schedule, the Court, on its own motion, continued the hearing on the instant motion to July 22, 2026, noting, "All filing deadlines will be related to the original hearing dates." (See Defendants' June 22, 2026 Notice of Continuance.) Therefore, the Court does not consider Plaintiffs' untimely Reply, Reply Declaration of Kent G. Mariconda, or evidentiary objections.

LEGAL STANDARD

In general, "the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." (Code Civ. Proc. § 916, subd. (a).) Furthermore, "When there is a stay of proceedings other than the enforcement of the judgment, the trial court shall have jurisdiction of proceedings related to the enforcement of the judgment as well as any other matter embraced in the action and not affected by the judgment or order appealed from." (Id. at subd. (b).)

However, effective January 1, 2024, Code of Civil Procedure section 1294 was amended to state, "Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceedings in the trial court during the pendency of the appeal" of an order denying a petition to compel arbitration. (Code Civ. Proc., § 1294, subd. (a).)

In general, the purpose of the automatic stay provision "is to protect the appellate court's jurisdiction by preserving the status quo until the appeal is decided. The [automatic stay] prevents the trial court from rendering an appeal futile by altering the appealed judgment or order by conducting other proceedings that may affect it." (Varian Medical Systems, Inc. v. Delfino (2005) 35 Cal.4th 180, 189 (hereafter Varian).) The provision "stays all further trial court proceedings 'upon the matters embraced' in or 'affected' by the appeal." (Ibid.) "In determining whether a proceeding is embraced in or affected by the appeal, we must consider the appeal and its possible outcomes in relation to the proceeding and its possible results." (Ibid.) Whether a proceeding is "embraced" or "affected" by the appeal turns on whether the proceedings would affect the

“effectiveness” of the appeal. (Ibid.) Proceedings affecting the effectiveness of the appeal are stayed; other proceedings are not. (Ibid.)

That a “proceeding may render the appeal moot is not, by itself, enough to establish that the proceeding affects the effectiveness of the appeal” sufficient to warrant a stay. (Varian, supra, 35 Cal.4th at p. 189.) “Rather, something more is needed. For example, the trial court proceeding must directly or indirectly seek to enforce, vacate or modify [the] appealed judgment or order.” (Ibid.) Alternatively, “the proceeding must substantially interfere with the appellate court’s ability to conduct the appeal. (Id. at p. 190.)

“A trial court proceeding also affects the effectiveness of an appeal if the possible outcomes on appeal and the actual or possible results of the proceeding are irreconcilable.” (Varian, supra, 35 Cal.4th at p. 190.) For example, terminating jurisdiction over spousal support is irreconcilable with possible outcomes on appeal of the denial to vacate the spousal support order. (Ibid.) Similarly, “an appeal from a judgment on the pleadings precludes a trial court from granting leave to amend the complaint because affirmance of the judgment is irreconcilable with an order granting leave to amend.” (Ibid.)

“Finally, a proceeding affects the effectiveness of the appeal if the very purpose of the appeal is to avoid the need for that proceeding.” (Varian, supra, 35 Cal.4th at p. 190.) For example, “an appeal from the denial of a motion to compel arbitration automatically stays all further court proceedings on the merits” because the trial court proceedings themselves are “inherently inconsistent with a possible outcome on appeal.” (Ibid.) Similarly, because the purpose of the anti-SLAPP statute is to protect litigants from being “dragged through the courts because [they] exercised [their] constitutional rights [...] an appeal from the denial of an anti-SLAPP motion is no different than an appeal from the denial of a motion to compel arbitration.” (Id. at p. 193, emphasis added.)

But “an appeal does not stay proceedings on ancillary or collateral matters which do not affect the judgment [or order] on appeal even though the proceedings may render the appeal moot.” (Varian, supra, 35 Cal.4th at p. 191.) “[C]ertain proceedings, by law, are collateral to the merits of an appeal despite their potential effect on the appeal.” (Ibid.) For example, a motion for a new trial is legislatively ancillary or collateral and may proceed notwithstanding an appeal from the judgment. (Ibid.) Similarly, a proceeding to expunge a lis pendens is collateral to an appeal from the judgment. (Ibid.)

A “proceeding is also ancillary or collateral to the appeal despite its potential effect on the appeal, if the proceeding could or would have occurred regardless of the outcome of the appeal.” (Varian, supra, 35 Cal.4th at p. 191.) For example, where a litigant could achieve the same result by posting a bond to stay the spousal support provisions of a judgment, the Court was not prevented from modifying its spousal support provisions in the interlocutory judgment. (In re Marriage of Horowitz (1984) 159 Cal.App.3d 377, 382.) Similarly, “an appeal from the denial of a preliminary injunction does not stay further trial court proceedings on the merits” because “the affirmance or reversal of its denial does not and cannot eliminate the need for additional proceedings on the merits” as “the injunction amounts to a mere preliminary or interlocutory order to keep the subject of the litigation in status quo pending the determination of the action on its merits.” (Varian, 35 Cal.4th at p. 191.) “Likewise, an appeal from an order denying a motion to disqualify counsel does not automatically stay further trial court proceedings on the merits because such proceedings would occur regardless of whether the reviewing court affirms or reverses the order.” (Ibid.)

In passing the 2024 amendment, the legislature noted the automatic stay disproportionately benefited employers, who were more likely to bring motions to compel arbitration, and to obtain the benefit of the stay during the appeal of a denial of their motion to compel arbitration, which result in a years-long delay in the plaintiff employee’s ability to pursue relief. The legislature further noted, “this bill does not appear to completely divest the trial court of their discretion in granting or denying a stay, but rather allows the trial court precisely the ‘inherent power to grant a discretionary stay if it serves the interest of justice and judicial efficiency[.]’” (California Bill Analysis, S.B. 365 Assem., 6/13/2023; see also California Bill Analysis, S.B. 365 Sen., 4/11/2023.)

ANALYSIS

Plaintiffs move to extend the automatic stay applicable to the FAXC by virtue of their appeal of the Court's denial of their anti-SLAPP motion to extend to proceedings involving their operative SAC as well on the grounds that proceeding with litigation as to Plaintiffs' SAC "creates a substantial risk of mootness" by virtue of the appeal and "numerous discovery matters" pertaining to Plaintiffs' Complaint "cannot be extricated from matters pursued in the Cross-Complaint." Plaintiffs also move to stay "a newly noticed UD action" brought by the subject property's new owner, which the Court deemed related on July 16, 2026, on the grounds that the UD matter would "undermine the integrity of the Appeal" if allowed to proceed.

Specifically, Plaintiffs seek an order determining that the automatic stay applies to the first and second causes of action to which the Court found Plaintiffs' motion untimely, and extending the stay to all causes of action alleged in the SAC on the grounds that Plaintiffs' affirmative defenses to the FAXC substantially overlap with the claims they assert in the SAC.

In opposition, Defendants point out that the Court already held, in connection with its May 15, 2026 adoption of the Discovery Referee's January 14, 2026 Report #6 and Recommendations ("R&R #6"), that the appeal of the anti-SLAPP motion stays only the cross-complaint's third cause of action for trespass:

An appeal from an order granting or denying a Code of Civil Procedure section 425.16 motion automatically stays all further proceedings on the merits upon the causes of action affected by the motion. (See *Varian Med. Systems, Inc. v. Delfino* (2005) 35 C4th 180, 191-192; see also *Grewal v. Jammu* (2011) 191 CA4th 977, 1001.) But the automatic stay covers only the claims sought to be stricken. It does not affect trial court proceedings on other claims. (See *Varian Med. Systems, Inc. v. Delfino*, supra, 35 C4th at p. 195, fn. 8.)

Therefore, having read and considered Plaintiffs' Objections and Request for hearing filed May 5, 2026, the Court overrules Plaintiffs' objections and denies the request for hearing. Further, the Court finds that the automatic stay relates solely to the cross-claim for Trespass, and the subject discovery requests addressed by Report #6 and Recommendations relate to Plaintiffs' operative claims for relief, not the cross-claim for Trespass.

(Approval of and Order Adopting Jan. 14, 2026 R&R #6, entered May 15, 2026.)

Thus, Defendants argue, the instant motion is effectively an untimely motion for reconsideration that does not articulate any new facts, circumstances, or law warranting a different ruling on these same issues now.

The Court agrees that, to the extent Plaintiffs' June 5, 2026 Motion to Determine Scope of Stay seeks reconsideration of the Court's May 15, 2026 Order determining that the scope of the stay automatically covers the first and second claims of the FAXC, such request is untimely. "When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order." (Code Civ. Proc., § 1008, subd. (a), emphasis added.) Here, the Clerk of the Court provided electronic notice of the Court's order on May 15, 2026, making Plaintiffs' June 5, 2026 Motion untimely.

Further, even if the automatic stay did cover Defendants' first and second cross-claims, which the Court already determined it did not, there is still no basis for the Court to exercise its discretion to stay litigation of Plaintiffs' affirmative claims and Defendants' defenses thereto. To the extent Plaintiffs' claims overlap with their defenses to the FAXC and Defendants' defenses to Plaintiffs' SAC overlap with their cross-claims, such overlap actually supports not staying litigation. Regardless of whether the appellate court ultimately reverses this Court and determines that Defendants' cross-claim(s) should be specially stricken, discovery issues will still arise in this case by virtue of Plaintiffs' affirmative claims and Defendants' defenses thereto, none of which are currently subject to a special motion to strike.

The purpose of the anti-SLAPP statute in protecting litigants from being "dragged through the courts" does not apply here, because the parties will still be "dragged through the courts" with respect to these issues on Plaintiffs' claims and Defendants' defenses thereto, regardless of whether the appellate court ultimately specially strikes Defendants' cross-claim(s). (See

Varian, supra, 35 Cal.4th at p. 193.)

As such, there is no harm, much less irreparable harm, in allowing the action to proceed vis-à-vis Plaintiffs' affirmative claims, Defendants' defenses thereto, and Defendants' first two cross-claims for breach of written lease and declaratory relief, regardless of the outcome on Plaintiffs' anti-SLAPP motion. Nor does a balancing of the equities militate in favor of a stay, for the reasons stated.[1]

The same reasoning applies to the newly pending Unlawful Detainer matter. To the extent the pending claims and defenses overlap with issues in the related Unlawful Detainer action, the parties to that action will be "dragged through the courts" on the issues vis-à-vis the Unlawful Detainer matter, regardless of whether the appellate court ultimately specially strikes Defendants' cross claim(s) in this matter.

In a separately-filed opposition, Defendant Tara Broida urges the Court to consider lifting the stay altogether, including as to the trespass cross-claim, on the grounds that it clearly does not arise out of protected litigation activity and the appeal is entirely frivolous. While the Court agrees that the trespass claim does not arise out of protected litigation activity, as explained in its order denying Plaintiffs' special motion to strike, ultimately that claim must be stayed during the pendency of the appeal, in the event the Court of Appeal disagrees. As such, the Court declines to lift the automatic stay as to the trespass cross-claim.

CONCLUSION AND ORDER

The Court denies Plaintiffs' motion to determine scope of stay pending appeal in its entirety. As the Court previously held, the automatic stay applies only to Defendants' third cross-claim for trespass.

Plaintiffs shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 22, 2026 _____/s/ _____

Michael E. Whitaker

Judge of the Superior Court

[1] Because the Court determines there is no harm in denying the requested stay, and a balancing of the equities does not support the requested stay, the Court need not determine whether Plaintiffs are likely to succeed on the merits of their pending appeal.

TENTATIVE RULING - NO. 2

DEPARTMENT

207

HEARING DATE

July 22, 2026

CASE NUMBER

23SMCV01044

MOTION

Demurrer to Second Amended Complaint

MOVING PARTY

Defendant Victor Grozdich

OPPOSING PARTIES

Plaintiffs Jennifer Flynn Adams and Christopher Adams

MOTION

This case arises from a dispute between landlord and tenant regarding the conditions of real property Plaintiffs Jennifer Flynn Adams ("Flynn") and Christopher Adams (together, "Plaintiffs") leased with the intent to purchase.

Plaintiffs' operative second amended complaint ("SAC"), alleges fifteen causes of action for (1) breach of statutory duties; (2) negligence; (3) maintenance of a nuisance; (4) trespass; (5) breach of lease agreement; (6) breach of contract; (7) fraud and deceit; (8) negligent misrepresentation; (9) breach of the duty of good faith and fair dealing; (10) quantum meruit; (11) intentional interference with prospective economic advantage; (12) negligent interference with prospective economic advantage; (13) unfair business

practices; (14) intentional infliction of emotional distress; and (15)

declaratory and injunctive relief.

On March 6, 2026, Plaintiffs named Defendant Victor Grozdich ("Grozdich")

as Does 22, 27, 32, 52, 77, 112, 127, and 132, as to Plaintiff's First, Second,

Third, Fourth, Fifth, Sixth, Seventh, Ninth, Thirteenth, Fourteenth, and

Fifteenth causes of action.

Grozdich now demurs to the SAC for misjoinder, failure to state facts

sufficient to constitute a cause of action, and uncertainty, pursuant to Code

of Civil Procedure section 430.10, subdivisions (d), (e), and (f),

respectively. Plaintiffs oppose the

motion.

REQUEST

FOR JUDICIAL NOTICE

Grozdich requests judicial notice of

Plaintiffs' "Notice of Related Case" filed in this action on March 6,

2026.

Judicial notice may be taken

of records of any court in this state.

(Evid. Code, § 452, subd. (d)(1).)

Because the Notice of Related Case is part of the Court's record for

this case, the Court may take judicial notice of it. (Ibid.) However, “while courts are free to take judicial notice of the existence of each document in a court file, including the truth of results reached, they may not take judicial notice of the truth of hearsay statements in decisions and court files. Courts may not take judicial notice of allegations in affidavits, declarations and probation reports in court records because such matters are reasonably subject to dispute and therefore require formal proof.” (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882 [cleaned up].)

Accordingly, the Court takes

judicial notice of the existence, filing, and legal consequences of the Notice

of Related Case, but not the absolute truth of the allegations or other hearsay

statements contained therein.

ANALYSIS

1.

DEMURRER

“It is black letter law that

a demurrer tests the legal sufficiency of the allegations in a complaint.”

(Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In

testing the sufficiency of a cause of action, a court accepts “[a]s true all

material facts properly pled and matters which may be judicially noticed but

disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a

reasonable interpretation, reading it as a whole and its parts in their

context.” (290 Division (EAT), LLC v.

City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned

up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280

[“in considering the merits of a demurrer, however, “the facts alleged in the

pleading are deemed to be true, however improbable they may be”].)

Further, in ruling on a

demurrer, a court must “liberally construe” the allegations of the complaint

“with a view to substantial justice between the parties.” (See Code Civ. Proc., § 452.) “This rule of liberal construction means that

the reviewing court draws inferences favorable to the plaintiff, not the

defendant.” (Perez v. Golden Empire Transit Dist. (2012) 209

Cal.App.4th 1228, 1238.)

In summary, “[d]etermining

whether the complaint is sufficient as against the demurrer on the ground that

it does not state facts sufficient to constitute a cause of action, the rule is

that if on consideration of all the facts stated it appears the plaintiff is

entitled to any relief at the hands of the court against the defendants the

complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

UNCERTAINTY

"[D]emurrers for uncertainty are disfavored." (Lickiss v. Financial Industry Regulatory Authority (2012) 208 Cal.App.4th 1125, 1135.) "A demurrer for uncertainty will be sustained only where the pleading is so bad that the responding party cannot reasonably respond - i.e., [a party] cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against [the party]." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2026) ¶ 7:85, p. 45, emphasis in original.)

As such, where a demurrer is made upon the ground of uncertainty, the demurrer must distinctly specify exactly how or why the pleading is uncertain, and where such uncertainty

appears by reference to page and line numbers.

(See *Fenton v. Groveland Comm. Services Dist.* (1982) 135

Cal.App.3d 797, 809 [“Generally, the failure to specify the uncertain aspects

of a complaint will defeat a demurrer based on the grounds of uncertainty”].)

Grozdoch demurs on the ground

of uncertainty, arguing that the SAC fails to allege any factual basis to

connect him to any of the alleged conduct.

To the contrary, to the

extent Grozdoch is named as Does 22, 27, 32, 52, 77, 112, 127, and 132, the SAC

adequately alleges the facts against him.

For example, to the extent Grozdoch is named as Does 22, 27, and 32, the

SAC alleges the following facts against him with respect to the first two

causes of action:

[...] remaining

DOES 1-25 acted as principals and/or agents of MADISON and/or acted on behalf

or direction of MADISON, E. BROIDA (sued and served as DOE 21 as it relates to

this allegation, as an individual and as Co-Trustee of The Madison Family

Trust), and remaining DOES 1- 25 throughout the duration of the Landlord/Tenant

relationship between Plaintiffs and MADISON.

[...] remaining

DOES 21 through 30 are the alter egos of MADISON and that at all times herein mentioned, there existed such a unity of interest in ownership between BROIDA, BURSTIN, BESSEMER, E BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 25 and MADISON that any separateness has ceased to exist between them because (i) BROIDA, BURSTIN, BESSEMER, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 21 through 30 have commingled and used the assets of MADISON for their own benefit and have caused the assets of said entity to be transferred to them without adequate consideration; and (ii) BROIDA, BURSTIN, BESSEMER, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 21 through 30 have exercised complete dominance and control over MADISON, and its properties, such that the foregoing entity is a mere shell and instrumentality for the conduct of the personal business and activities of MADISON. Adherence to the fiction of a separate existence of BROIDA, BURSTIN, BESSEMER, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 21 through 30 and MADISON would sanction fraud and permit an abuse of the legal benefits of true limited

liability companies and corporations and properly established trusts.

Plaintiffs allege that Defendants BROIDA, BURSTIN, BESSEMER, E. BROIDA (sued

and served as DOE 21 as it relates to this allegation, as an individual and as

Co-Trustee of The Madison Family Trust), and remaining DOES 21 through 30

herein are therefore liable for any judgment hereunder against MADISON.

[...] remaining

DOES 31- 35 represented, orally and in writing, at presentation of a lease to

Plaintiffs that the SUBJECT PREMISES was habitable, safe, structurally sound

and stable, and was in compliance with all building and safety codes, among

other things.

19.

Based upon the representations and promises made by BROIDA, E. BROIDA (sued and

served as DOE 31 as it relates to this allegation, as an individual and as

Co-Trustee of The Madison Family Trust), and remaining DOES 31-35 and the

reasonable and expected future ownership interest in the SUBJECT PREMISES,

Plaintiffs entered into a LEASE AGREEMENT (attached hereto as EXHIBIT "1") on

June 24, 2018, for an initial term of one (1) year (that thereafter would

convert into a month-to-month agreement) ("LEASE") with MADISON. To affirm the

intent of the parties to a sale/purchase of the SUBJECT PREMISES, no

integration clause was included in the agreement.

20. In

reasonable reliance upon the aforementioned promises and representations, plaintiffs altered their position to their detriment and moved into the SUBJECT PREMISES and invested time, money, and services to make repairs and renovate the SUBJECT PREMISES. Plaintiffs have incurred costs, expenses, and made decisions that now affect their equitable interests, future residency, work positions, childcare needs, schooling choices, and alternative real estate opportunities/housing options.

24.

Plaintiffs are informed and believe and thereupon allege that at all times herein mentioned material representations about the property's true and actual condition and value made in writing and orally throughout the history of the relationship between Plaintiffs and MADISON (BROIDA and/or BESSEMER) were in fact false. Material representations made to Plaintiffs verbally and in writing, in the LEASE, emails, text messages and published in public advertisements and websites, are not the true and actual condition of the SUBJECT PREMISES, or in the actual records obtained from the County, State or any other agency holding documentation regarding the SUBJECT PREMISES.

25.

Plaintiffs are informed and believe and thereupon allege that at all times

herein mentioned documents were supplied to Plaintiffs under false pretenses
when they inquired specifically about proof of the property's safety.

26.

Plaintiffs are informed and believe and thereupon allege that at all times
herein mentioned the LEASE falsely states that, "Landlord is unaware of
any litigation, arbitration, or pending or threatened action that does or may
affect the Premises or the Landlord's ability to lease it." Plaintiffs are
informed and believe and thereupon allege that at all times herein mentioned
this was a material misrepresentation of fact willfully intended to induce
Plaintiffs to rent the SUBJECT PREMISES since the property not only had known
litigation, but had litigation that stated structural concerns and failures to
comply with legally mandated occupancy requirements. This information was
willfully and intentionally concealed from Plaintiffs. Disclosure would have affected
Plaintiffs' desire to rent this property.

27.

Plaintiffs are informed and believe, and therefore allege that Defendants, and
each of them, have failed and continue to fail to maintain the SUBJECT PREMISES
and its surrounding areas in good repair and condition, specifically, but not
limited to the foundation, structure, bathrooms, surrounding areas, HVAC,
plumbing, septic system, etc. Various portions of the SUBJECT PREMISES are

believed to be constructed or involve attempted remediation without the requisite building permits, government approval, or inspections and create dangerous, uninhabitable, and unsafe conditions. The foundation has shifted, water has intruded into the SUBJECT PREMISES and through walls, mold has accumulated in the home and HVAC system, rats have infested the property at times, and the septic system has failed.

28.

Plaintiffs are informed and believe, and thereupon allege that the SUBJECT PREMISES has persistent drainage problems, and Defendants, and each of them, have not taken and have consciously chosen not to take proper remedial steps to prevent harm to Plaintiffs or their property. When it rains, water accumulates throughout the areas surrounding the SUBJECT PREMISES, and does not drain adequately. It accumulates on the SUBJECT PREMISES and on the surrounding areas around the SUBJECT PREMISES, contributing to and/or causing subsidence of the SUBJECT PREMISES and the surrounding areas, creating an unsafe and inhumane living environment.

29.

Plaintiffs are informed and believe and thereupon allege that at all times herein mentioned ongoing unrepaired structural stress to the structures and the supporting land has never been corrected and has now increased. Visible signs

of stress (cracks, etc.) have just been superficially remediated. The potential structural root cause of these stresses has also been noted and acknowledged by DWYER, but have not yet been properly addressed or remediated.

30.

Plaintiffs are informed and believe, and therefore allege that for the past several years sewage frequently spills from the sewage system onto the SUBJECT PREMISES. Plaintiffs smell very foul odors regularly. This smell is potent, present on the streets of the SUBJECT PREMISES, and it finds its way into the Plaintiffs' home and surrounding areas, needlessly endangering the safety of the Plaintiffs and surrounding property. The odor makes Plaintiffs nauseated and sick, and disrupts their enjoyment and use of their residence and the surrounding areas, creating an unsafe and inhumane living environment.

31.

Defendants, and each of them, have been notified of the above-referenced problems numerous times and the condition of the SUBJECT PREMISES has actually been the subject of a previous lawsuit (Los Angeles Superior Court Case Number BC667534). Defendants, and each of them, were aware of the dangerous consequences of their actions and inactions through their being well informed of the substandard living conditions, as well as the Plaintiffs' inability to just move from the SUBJECT PREMISES due to the unavailability of comparable

rentals in the area. Regardless, Defendants, and each of them, have not taken, and have consciously chosen not to take, adequate remedial measures to abate these problems.

42. As

set forth herein at Paragraph 19 on or about June 24, 2018, Plaintiffs entered into a valid LEASE with the MADISON FAMILY TRUST for the lease/rent of the SUBJECT PREMISES for residential purposes.

43.

Defendants BROIDA, BESSEMER, ETB, DWYER, KIM, BURSTIN, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1-25 acted as principals and/or agents of MADISON and/or acted on behalf or direction of MADISON, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1-25 (cumulatively referred to as "LANDLORD") throughout the duration of the relationship between Plaintiffs and MADISON.

50.

Plaintiffs are informed and believe and thereupon allege that despite the foregoing, LANDLORD, DOES 1-25, and DOES 41-50, engaged in conduct, or failed to act as required, in direct violation of each of the above-cited provisions,

and otherwise advanced a campaign to harass, intimidate, and otherwise
retaliate against FLYNN and ADAMS, through various means and communications in
violation of the LEASE between the parties and the operable TENANT PROTECTION
provisions cited herein.

51. Such

improper actions and conduct were/was enumerated in various emails and
communications to BROIDA, BURSTIN, BESSEMER, ETB, DWYER, KIM, E. BROIDA (sued
and served as DOE 21 as it relates to this allegation, as an individual and as
Co-Trustee of The Madison Family Trust), and remaining DOES 1-25, as those
acting and on behalf or direction of MADISON and DOES 41-50, by Plaintiffs over
the past few years, putting said Defendants on Notice thereof.

52.

Plaintiffs are informed and believe and thereupon allege that MADISON FAMILY
TRUST and/or other acting, apparent, or otherwise authorized agents of MADISON,
including but not

53. Such

acts by MADISON and those acting on their behalf or direction, or any person,
acting as a principal or agent, including but not limited to, BROIDA, BURSTIN,
BESSEMER, ETB, DWYER, KIM, E. BROIDA (sued and served as DOE 21 as it relates
to this allegation, as an individual and as Co-Trustee of The Madison Family

Trust), and remaining DOES 1-25 are deemed to be violations of the Retaliatory

Eviction and Harassment provisions as set forth in County Code §§ 8.52.130 and

8.57.100. (¶VI.D.1.) and THE LACo.TPR. These Protections survive any expiration

of the LACo.TPR.

54. As a

direct and proximate result of conduct of MADISON by Defendants BROIDA,

BESSEMER, ETB, DWYER, KIM, BURSTIN, E. BROIDA (sued and served as DOE 21 as it

relates to this allegation, as an individual and as Co-Trustee of The Madison

Family Trust), and remaining DOES 1-25 and/or other acting, apparent, or

otherwise authorized agents of MADISON and/or BESSEMER and E. BROIDA (sued and

served as DOE 31 as it relates to this allegation, as an individual and as

Co-Trustee of The Madison Family Trust), and remaining DOES 26-50, and each of

them, and violation of the privacy interests of ADAMS and his disabled status,

FLYNN and ADAMS are entitled to civil penalties under LACo.TPR.

55. As a

direct and proximate result of conduct of MADISON by Defendants BROIDA,

BESSEMER, ETB, DWYER, KIM, BURSTIN, E. BROIDA (sued and served as DOE 21 as it

relates to this allegation, as an individual and as Co-Trustee of The Madison

Family Trust), and remaining DOES 1-25 and/or other acting, apparent, or

otherwise authorized agents of MADISON and/or BESSEMER and E. BROIDA (sued and

served as DOE 31 as it relates to this allegation, as an individual and as

Co-Trustee of The Madison Family Trust), and remaining DOES 26-50, and each of them,

FLYNN and ADAMS have suffered and will continue to suffer a denial of their

rights as expressed herein.

56.

Plaintiffs are entitled to injunctive relief under LACo.TPR, and as expanded by

Article 14.6, Chapter IV of the Los Angeles Municipal Code, and AB 3088, in the

City of LA to suppress, enjoin and/ or prevent the enforcement of those lease

terms, rules, regulations and/or policies that unreasonably deprive FLYNN and

ADAMS of (1) lawful, fair, and legitimate rental charges, (2) lawful, fair and

reasonable leasing terms, and/or (3) to prevent the improper proceeding of

collection of rent, or (4) Eviction and/or Unlawful detainer proceeding.

57.

Unless MADISON and Defendants BROIDA, BESSEMER, ETB, DWYER, KIM, BURSTIN, E.

BROIDA (sued and served as DOE 21 as it relates to this allegation, as an

individual and as Co-Trustee of The Madison Family Trust), and remaining DOES

1-25 and/or other acting, apparent, or otherwise authorized agents of MADISON

and/or BESSEMER and E. BROIDA (sued and served as DOE 31 as it relates to this

allegation, as an individual and as Co-Trustee of The Madison Family Trust),

and remaining DOES 26-50 are restrained by a preliminary and permanent

injunction enjoining lease terms, rules, regulations and/or policies that unreasonably deprive FLYNN and ADAMS: (1) lawful, fair, and legitimate rental charges; and, (2) lawful, fair and reasonable leasing terms, (3) proper proceeding of collection of rent, or (4) proper Eviction and/or Unlawful detainer proceeding, FLYNN and ADAMS will continue to suffer irreparable harm in that FLYNN and ADAMS will be unable to reap the benefits of the intended use of the LEASED PREMISES. FLYNN and ADAMS have no adequate remedy at law because monetary damages, which may compensate for past wrongs, will not afford adequate relief from the harm that a continuation of Defendants' conduct, in denial of Plaintiffs' rights, will cause.

58. In

doing the acts alleged in this complaint, MADISON, by and through Defendants BROIDA, BESSEMER, ETB, DWYER, KIM, BURSTIN, E. BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1-25 and/or other acting, apparent, or otherwise authorized agents of MADISON and/or BESSEMER and E. BROIDA (sued and served as DOE 31 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 26-50, knew or should have known that their actions were likely to injure FLYNN and/or ADAMS.

Plaintiffs are informed and believe, and on that basis allege, that said

Defendants intended to cause injury to FLYNN and ADAMS and acted with a willful and conscious disregard of Plaintiffs' rights as secured by LACo.TPR, and as expanded by Article 14.6, Chapter IV of the Los Angeles Municipal Code, and AB 3088, in the City of LA and any other COVID RULES, thereby entitling FLYNN and ADAMS to recover statutory penalties in an amount to be determined by this Court for each willful violation, or punitive damages pursuant to Section 3294 of the Civil Code.

61. At

all pertinent times herein, BROIDA (individually and as Co-Trustee of MADISON), BURSTIN (individually and as Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (individually and as Co-Trustee of MADISON), ETB, DWYER, KIM, E. BROIDA (sued and served as DOES 21 and 31 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1-25, and DOES 41-50 and each of them were charged with a duty, by contract, statute, or otherwise, to adequately and properly maintain the SUBJECT PREMISES in compliance with applicable building, safety, and health codes, including, but not limited to the following matters: the sewage/septic system, electrical system, foundation, drainage, bathrooms, rodent deterrence, HVAC systems, mold infestation. This duty is non-delegable pursuant to California law.

62.

Defendants, and each of them, also owed a duty to the Plaintiffs, to provide the SUBJECT PREMISES that was habitable and in good repair pursuant to California law, and the pertinent agreement between the parties.

63. As

discovered by Plaintiffs within the past two years, Defendants, and each of them, so negligently owned, maintained, modified, designed, constructed, and/or repaired the surrounding areas and facilities, as described in paragraphs 23-31, 39, and 40, so as to breach their duties to Plaintiffs as described herein, said breach being the proximate cause of the SUBJECT PREMISES to become unfit for human occupation. The surrounding areas and facilities substantially failed to comply with applicable building and housing code standards, materially affecting the health and safety of the Plaintiffs, and caused these areas to be unreasonably dangerous and unsafe. The codes violated include, but are not limited to, Health & Safety Code §§17920.3, 17920.10, and 18200, et seq.; LACo.TPR, and as expanded by Article 14.6; Chapter IV of the Los Angeles Municipal Code; and AB 3088, in the City of LA; and any other COVID RULES.

64. Due

to the breach by Defendants of their duties under the LEASE and various laws, the SUBJECT PREMISES has created an uninhabitable environment and a property

that is in poor condition and disrepair as described in paragraphs 23-31, 39, and 40, including, but not limited to, the foundation, structure, bathrooms, surrounding areas, HVAC, plumbing, septic system, etc., all of which substantially interfere with the plaintiffs' use and enjoyment, as well as possession, of the property, further resulting in maintenance of a nuisance and trespass.

65. None

of these conditions was known to the Plaintiffs at the time they leased the SUBJECT PREMISES with the intent to purchase the property as their home. The Plaintiffs became aware of the numerous defective and dangerous conditions listed above and in in paragraphs 23-30, 38 and 39 as set forth herein. These matters were brought to Defendants' attention, but Defendants and each of them have failed to timely and properly act to abate these hazards, and/or have denied all responsibility for the creation of or responsibility to remediate these hazards and nuisances. These denials are in contravention of Defendants' responsibilities under the Tenant Protection Laws, COVID RULES, and Civil Code 1941 et. seq., without limitation, which require Defendants to take appropriate action to maintain the premises and abate the numerous violations.

66.

Plaintiffs repeatedly notified Defendants of the uninhabitable, defective, and

dangerous conditions, described in paragraphs 23-31, 39, and 40, and requested that Defendants have them repaired or remedied. Defendants failed and refused and continue to fail and refuse to repair or remedy the conditions complained of, within a reasonable time or at all. Defendants have consistently denied responsibility for remediation of these significant problems in spite of the knowledge said conditions and the effects thereof upon the Plaintiffs and their property.

67. As a

proximate result of Defendants' negligence as alleged above, the space leased by Plaintiffs is, at the time that they occupied the SUBJECT PREMISES, uninhabitable and unfit for human occupation.

68. As a

proximate result of Defendants' negligence, Plaintiffs have suffered serious emotional and physical distress and injuries, including suffering, pain, loss of enjoyment of life, anxiety and fear, and other general damages, all to their general damage according to proof from the condition of the premises, as aforesaid, due to Defendants' failure to maintain the SUBJECT PREMISES.

69. As a

further proximate result of Defendants' negligence, as alleged above, Plaintiffs were required to and did incur medical and related expenses, all to

their further damage in an amount to be determined according to proof at the time of trial.

70. As a

further proximate result of Defendants' negligence, as alleged above,

Plaintiffs suffered property damage and economic loss including, but not

limited to, damage to their personal effects and property, loss of income, loss

of opportunities, etc., all to their further damage in a sum according to

proof.

(SAC ¶¶ 13-14, 18-20, 24-31, 42-43, 50-58,

61-70.)

The

same is true to the extent Grozdich is named as Does 22, 27, 32, 52, 77, 112,

127, and 132 with respect to the Third, Fourth, Fifth, Sixth, Seventh, Ninth,

Thirteenth, Fourteenth, and Fifteenth causes of action.

Therefore,

Grozdoch does not demonstrate that any portions of the SAC are so faulty that

Grozdoch cannot determine what issues must be admitted or denied, or what

claims are directed against him.

Therefore, the Court declines

to sustain Grozdich's demurrer on the grounds of uncertainty.

B.

FAILURE TO STATE A CAUSE OF ACTION

Grozdoch similarly argues

that the SAC fails to state facts sufficient to constitute a cause of action

against him because he was substituted in as a Doe Defendant after the fact,

instead of being specifically named and specific facts originally alleged against

him. Specifically, Grozdoch argues that

he is simply the subsequent purchaser of the subject property, who has

initiated unlawful detainer proceedings against Plaintiffs to try to occupy the

home himself.

But Grozdoch's status as the

subsequent purchaser of the subject property is not dispositive of whether

Grozdoch also acted as Madison's principal, agent, and/or alter ego as

alleged above. (SAC ¶¶ 13-14.) Further, as discussed above, to the extent

Grozdoch is named as Does 22, 27, 32, 52, 77, 112, 127, and 132 with respect to

the first, second, third, fourth, fifth, sixth, seventh, ninth, thirteenth,

fourteenth and fifteenth causes of action, the claims are adequately alleged,

so long as "ultimate facts" pertaining to the elements of each claim are

alleged.[1]

i.

First Cause

of Action – Breach of Statutory Duties

As discussed above, as Does 22, 27, and 32, Grozdich is alleged to be a principal and/or agent and/or alter ego of Madison, Plaintiffs' landlord (SAC ¶¶ 13-14), who violated the Tenant Protection Act (SAC ¶¶ 44-45), and the Los Angeles County Covid-19 Tenant Protections Resolution (SAC ¶¶ 46-48) by his “refusal to acknowledge various inquiries, refusal to make repairs, refusal to keep the SUBJECT PREMISES in good repair, attempts to retaliate and drive Plaintiffs from the SUBJECT PREMISES, improper attempts to collect rents, threatening conduct, and conduct that would otherwise force Plaintiffs to live in unhealthful and unsafe conditions” (SAC ¶ 52), resulting in Retaliatory Eviction and Harassment in violation of the County Code and the Los Angeles County Tenant Protection Resolution (SAC ¶ 53.)

Therefore, the SAC adequately alleges a breach of statutory duties. Whether Grozdich actually did any of the above as Madison's principal, agent, and/or alter ego requires the resolution of factual questions, to be determined at later stages of the litigation.

ii.

Second Cause

of Action – Negligence

The elements for a negligence cause of action are duty, breach,

causation, and damages. (Castellon v.

U.S. Bancorp (2013) 220 Cal.App.4th 994, 998.) Here, as to Grozdich, Plaintiffs allege:

61. At all pertinent times herein, BROIDA

(individually and as Co-Trustee of MADISON), BURSTIN (individually and as

Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (individually and

as Co-Trustee of MADISON), ETB, DWYER, KIM, E. BROIDA (sued and served as DOES

21 and 31 as it relates to this allegation, as an individual and as Co-Trustee

of The Madison Family Trust), and

remaining DOES 1-25, and DOES

41-50 and each of them were charged with a duty, by contract, statute, or

otherwise, to adequately and properly maintain the SUBJECT PREMISES in

compliance with applicable building, safety, and health codes, including, but

not limited to the following matters: the sewage/septic system, electrical

system, foundation, drainage, bathrooms, rodent deterrence, HVAC systems, mold

infestation. This duty is non-delegable pursuant to California law.

62. Defendants, and each of them, also owed a

duty to the Plaintiffs, to provide the SUBJECT PREMISES that was habitable and

in good repair pursuant to California law, and the pertinent agreement between

the parties.

63. As discovered by Plaintiffs within the past two years, Defendants, and each of them, so negligently owned, maintained, modified, designed, constructed, and/or repaired the surrounding areas and facilities, as described in paragraphs 23-31, 39, and 40, so as to breach their duties to Plaintiffs as described herein, said breach being the proximate cause of the SUBJECT PREMISES to become unfit for human occupation. The surrounding areas and facilities substantially failed to comply with applicable building and housing code standards, materially affecting the health and safety of the Plaintiffs, and caused these areas to be unreasonably dangerous and unsafe. The codes violated include, but are not limited to, Health & Safety Code §§17920.3, 17920.10, and 18200, et seq.; LACo.TPR, and as expanded by Article 14.6; Chapter IV of the Los Angeles Municipal Code; and AB 3088, in the City of LA; and any other COVID RULES.

64. Due to the breach by Defendants of their duties under the LEASE and various laws, the SUBJECT PREMISES has created an uninhabitable environment and a property that is in poor condition and disrepair as described in paragraphs 23-31, 39, and 40, including, but not limited to, the foundation, structure, bathrooms, surrounding areas, HVAC, plumbing, septic system, etc., all of which substantially interfere with the plaintiffs' use and enjoyment, as well as possession, of the property, further

resulting in maintenance of a nuisance and trespass.

65. None of these conditions was known to the

Plaintiffs at the time they leased the SUBJECT PREMISES with the intent to

purchase the property as their home. The Plaintiffs became aware of the

numerous defective and dangerous conditions listed above and in in paragraphs

23-30, 38 and 39 as set forth herein. These matters were brought to Defendants'

attention, but Defendants and each of them have failed to timely and properly

act to abate these hazards, and/or have denied all responsibility for the creation

of or responsibility to remediate these hazards and nuisances. These denials

are in contravention of Defendants' responsibilities under the Tenant

Protection Laws, COVID RULES, and Civil Code 1941 et. seq., without limitation,

which require Defendants to take appropriate action to maintain the premises

and abate the numerous violations.

66. Plaintiffs repeatedly notified Defendants

of the uninhabitable, defective, and dangerous conditions, described in

paragraphs 23-31, 39, and 40, and requested that Defendants have them repaired

or remedied. Defendants failed and refused and continue to fail and refuse to

repair or remedy the conditions complained of, within a reasonable time or at

all. Defendants have consistently denied responsibility for remediation of

these significant problems in spite of the knowledge said conditions and the

effects thereof upon the Plaintiffs and their property.

67. As a proximate result of Defendants'

negligence as alleged above, the space leased by Plaintiffs is, at the time

that they occupied the SUBJECT PREMISES, uninhabitable and unfit for human

occupation.

68. As a proximate result of Defendants'

negligence, Plaintiffs have suffered serious emotional and physical distress

and injuries, including suffering, pain, loss of enjoyment of life, anxiety and

fear, and other general damages, all to their general damage according to proof

from the condition of the premises, as aforesaid, due to Defendants' failure to

maintain the SUBJECT PREMISES.

69. As a further proximate result of

Defendants' negligence, as alleged above, Plaintiffs were required to and did

incur medical and related expenses, all to their further damage in an amount to

be determined according to proof at the time of trial.

70. As a further proximate result of

Defendants' negligence, as alleged above, Plaintiffs suffered property damage

and economic loss including, but not limited to, damage to their personal

effects and property, loss of income, loss of opportunities, etc., all to their

further damage in a sum according to proof

(SAC

¶¶ 61-70, emphasis added.)

Therefore, Plaintiffs have

adequately alleged negligence against Grozdich.

Whether Grozdich actually knew about and failed to repair the allegedly uninhabitable conditions are questions of fact for resolution at later stages of the litigation.

iii.

Third Cause

of Action – Nuisance

A “nuisance” is “[a]nything

which is injurious to health, including, but not limited to, the illegal sale

of controlled substances, or is indecent or offensive to the senses, or an

obstruction to the free use of property, so as to interfere with the comfortable

enjoyment of life or property, or unlawfully obstructs the free passage or use,

in the customary manner, of any navigable lake, or river, bay, stream, canal,

or basin, or any public park, square, street, or highway, is a nuisance.” (Civ. Code, § 3479.)

A nuisance may be public,

private, or both. (Koll-Irvine Center

Property Owners Assn. v. County of Orange (1994) 24 Cal.App.4th 1036,

1041.) “Unlike public nuisance, which is

an interference with the rights of the community at large, private nuisance is

a civil wrong based on disturbance of rights in land.” (Ibid.) “So long as the interference is substantial

and unreasonable, and such as would be offensive or inconvenient to the normal

person, virtually any disturbance of the enjoyment of the property may amount

to a nuisance.” (Ibid.)

The elements of a private

nuisance are (1) Plaintiff leased or occupied the property; (2) Defendants, by

acting or failing to act, created a dangerous condition on the property; (3) Defendants’

action or failure to act was intentional, negligent, or reckless; (4) the

condition substantially interfered with Plaintiff’s use or enjoyment of the

property; (5) an ordinary person would be reasonably annoyed or disturbed by

Defendants’ conduct; (6) Plaintiff was harmed; (7) Defendants’ conduct was a

substantial factor in causing Plaintiff’s harm; and (8) the seriousness of the

harm outweighs the public benefit of Defendants’ conduct. (CACI No. 2021.)

Here, Plaintiffs allege:

Plaintiffs entered into a LEASE AGREEMENT [...]

and moved into the SUBJECT PREMISES [...]

72. At all times herein mentioned, said

Defendants’ maintenance and repair of the SUBJECT PREMISES was governed by the

LEASE as well as, State,

County and City law, wherein

LANDLORD warrants to provide a habitable premises and to not interfere with

Plaintiffs' quiet use and enjoyment, or possession, of the SUBJECT PREMISES.

73. At all relevant times herein, said

Defendants negligently, intentionally, and/or otherwise, failed to adequately

maintain, design, modify, and/or repair the drainage and plumbing, sewage, and

septic systems, or otherwise remove standing water and/or sewage in and around

the SUBJECT PREMISES, and failed to prevent water and/or sewage from

accumulating on the premises which was allowed to pool in and around

Plaintiffs' home, and penetrate/trespass into their living space, thus,

substantially interfering with Plaintiffs' quiet use and enjoyment, and/or

possession, of the SUBJECT PREMISES.

74. Defendants' committed acts and omissions

have resulted in substandard physical characteristics of the premises and to

human activities in violation of Health & Safety Code §§17920.3 and

17920.10, as well as Civil Code § 1941, et. Seq. The conditions on or about the

premises affect the health, welfare, or safety of plaintiffs and their family

and constitute the creation of a nuisance under said code sections and within

the meaning of Civil Code §§3479, 3480, 3481, Code of Civil Procedure §731, and

further interfere with Plaintiffs' contractual as well as legal right to use

and enjoyment, and possession, of the SUBJECT PREMISES.

75. As set forth herein, Plaintiffs have

sustained and still suffer substantial harm from continuing water intrusion,

failing foundations, sewage overspill, a problem with diverted/standing water

around their home caused by diversion of rainwater and other water by

improper/inadequate drainage in the surrounding areas, outside structures, and

by inadequate drainage and plumbing systems.

76. As a proximate result of the contractual

and statutory violations, and maintenance of the nuisance, Plaintiffs, at all

relevant times herein, became continuously exposed to an environment that

deprived Plaintiffs of the safe, healthy, and comfortable use of the premises,

all of which is indecent or offensive to the senses, or an obstruction to the

free use of property, so as to interfere with the comfortable use and enjoyment

of life or property.

77. As a proximate result of said Defendants'

maintenance of the nuisance, Plaintiffs suffered property damage, economic

loss, personal injuries, discomfort, annoyance, emotional distress, and mental

anguish, all to their general damage according to proof.

78. In maintaining the nuisance, said

Defendants acted with full knowledge of the consequences thereof and of the damage being caused to Plaintiffs despite this knowledge, Defendants failed to abate the nuisance by repairing the defective and dangerous conditions of the premises or causing them to be repaired, entitling Plaintiffs to injunctive relief therefore.

79. Said Defendants threaten to, and unless restrained and ordered to restore proper drainage, reconstruct substantial portions of the home, repair or replace the septic system, repair and/or replace the applicable drainage system, repair and/or replace the applicable plumbing system, abate all mold infestation with removal and replacement of damaged structure and/or HVAC system, abate the infestation of the SUBJECT PREMISES by rodents, spiders and/or insects, and make any other alterations or repairs to correct the complained of problems, will continue to act in violation of the LEASE and above-referenced statutes, and thereby continue and repeat their violations.

80. The actions and omissions of said Defendants alleged above will irreparably harm Plaintiffs, neighbors, and the general public.

81. Defendants' failure to put the SUBJECT PREMISES into a condition fit for human occupation and their failure to repair

the defective and dangerous conditions or to have them repaired within a reasonable time after Plaintiffs notified them of it or at all, as alleged above, was oppressive and malicious within the meaning of Civil Code §3294 in that they subjected the Plaintiffs to cruel and unjust hardship in willful and conscious disregard of each Plaintiff's rights and safety thereby entitling them to an award of punitive damages as alleged hereinabove.

82. Plaintiffs have no plain, speedy, or adequate remedy at law to abate the aforementioned problems.

(SAC

¶¶ 18-19, 72-82.)

Therefore, the Court finds that the

SAC adequately alleges a cause of action for nuisance against Grozdich.

iv.

Fourth Cause

of Action – Trespass

"The elements of trespass are: (1) the plaintiff's ownership or control of the property; (2) the defendant's intentional, reckless, or negligent entry onto the property; (3) lack of permission for the entry or acts in excess of permission; (4) harm; and (5) the defendant's conduct was a substantial factor in causing the harm." (Ralphs Grocery

Co. v. Victory Consultants, Inc. (2017) 17 Cal.App.5th 245, 262.) Here, Plaintiffs allege:

Plaintiffs entered into a LEASE AGREEMENT [...]

and moved into the SUBJECT PREMISES [...]

84. At all times herein mentioned, said

Defendants' maintenance and repair of the SUBJECT PREMISES was governed by the

LEASE as well as, State, County and City law, wherein LANDLORD warrants to

provide a habitable premises and to not interfere with Plaintiffs' quiet use

and enjoyment, or possession, of the SUBJECT PREMISES.

85. At all relevant times herein, said

Defendants negligently, intentionally, and/or otherwise, failed to adequately

maintain, design, modify, and/or repair the drainage and plumbing, sewage, and

septic systems, or otherwise remove standing water and/or sewage in and around

the SUBJECT PREMISES, and failed to prevent water and/or sewage from

accumulating on the premises which was allowed to pool in and around

Plaintiffs' home, and penetrate/trespass into their living space, thus,

substantially interfering with Plaintiffs' quiet use and enjoyment, and

possession, of the SUBJECT PREMISES.

86. Defendants' committed acts and omissions

have resulted in substandard physical characteristics of the premises and to

human activities in violation of Health & Safety Code §§17920.3 and

17920.10, as well as Civil Code § 1941, et. Seq. The conditions on or about the premises affect the health, welfare, or safety of plaintiffs and their family and constitute the creation of a nuisance under said code sections and within the meaning of Civil Code §§3479, 3480, 3481, Code of Civil Procedure §731, and further interfere with Plaintiffs' contractual as well as legal right to use and enjoyment, and possession, of the SUBJECT PREMISES.

87. As set forth herein, Plaintiffs have

sustained and still suffer substantial harm from continuing water intrusion, failing foundations, sewage overspill, a problem with diverted/standing water around their home caused by diversion of rainwater and other water by improper/inadequate drainage in the surrounding areas, outside structures, and by inadequate drainage and plumbing systems.

88. As a proximate result of the contractual

and statutory violations, and maintenance of the nuisance, Plaintiffs, at all relevant times herein, became continuously exposed to an environment that deprived Plaintiffs of the safe, healthy, and comfortable use of the premises, all of which is indecent or offensive to the senses, or an obstruction to the free use of property, so as to interfere with the comfortable use and enjoyment of life or property and the passion thereof.

89. As a proximate result of said Defendants'

trespass, Plaintiffs suffered property damage, economic loss, personal injuries, discomfort, annoyance, emotional distress, and mental anguish, all to their general damage according to proof.

90. In maintaining the trespass, said

Defendants acted with full knowledge of the consequences thereof and of the damage being caused to Plaintiffs despite this knowledge, Defendants failed to abate the trespass by repairing the defective and dangerous conditions of the premises or causing them to be repaired, entitling Plaintiffs to injunctive relief therefore.

91. Said Defendants threaten to, and unless

restrained and ordered to restore proper drainage, reconstruct substantial portions of the home, repair or replace the septic system, repair and/or replace the applicable drainage system, repair and/or replace the applicable plumbing system, abate all mold infestation with removal and replacement of damaged structure and/or HVAC system, abate the infestation of the SUBJECT PREMISES by rodents, spiders and/or insects, and make any other alterations or repairs to correct the complained of problems, will continue to act in violation of the LEASE and above-referenced statutes, and thereby continue and repeat their violations.

92. The actions and omissions of said

Defendants alleged above will irreparably harm Plaintiffs.

(SAC

¶¶ 18-19, 84-92.)

Although the SAC does not expressly

allege that the sewage water intrusion was done without Plaintiffs' permission,

the Court can reasonably infer, by virtue of the allegations that it

constituted a breach of habitability laws, that the intrusion was without

permission. Therefore, the Court

determines that Plaintiffs have adequately stated a cause of action against

Grozdoch for trespass.

v.

Fifth Cause

of Action – Breach of Lease Agreement

“To prevail on a cause of action for breach of contract, the plaintiff

must prove (1) the contract, (2) the plaintiff's performance of the contract or

excuse for nonperformance, (3) the defendant's breach, and (4) the resulting

damage to the plaintiff.” (Richman v.

Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Here, Plaintiffs allege:

[...] remaining DOES 1-25 acted as principals

and/or agents of MADISON and/or acted on behalf or direction of MADISON, E.

BROIDA (sued and served as DOE 21 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1- 25 throughout the duration of the Landlord/Tenant relationship between Plaintiffs and MADISON.

[...] remaining DOES 21 through 30 are the alter egos of MADISON [...]

96. The LEASE constitutes a valid contract in writing between Plaintiffs and MADISON, E. BROIDA (sued and served as DOES 21 and 31 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1-50 and creates a Landlord/Tenant relationship between the parties governed by the laws of this State.

97. BROIDA (as Co-Trustee of MADISON), BURSTIN (as Co-Trustee/Co-Successor/CoConservator of MADISON), BESSEMER (as Co-Trustee of MADISON), ETB, E. BROIDA (sued and served as DOE 51 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 51-75, all acting as Owners, Co-Trustees, Successors, Landlords or in some other capacity exercising control over the SUBJECT PREMISES (LANDLORD), through control, management, authorization,

collection of rent—in which each party accepted, acknowledged and ratified the acts of one another either implicitly, actually, or through conduct—owed duties to FLYNN and ADAMS per the terms of the LEASE.

98. Implicit in this LEASE is the Warranty of

Habitability whereby the LANDLORD covenants that the premises is being leased for living quarters will be maintained in a habitable state for the duration of the lease.

99. Implicit in this LEASE is the Warranty of

Quiet Use and Enjoyment whereby the LANDLORD covenants that the premises is being leased for the Quiet Use and Enjoyment for the duration of the lease.

100. Under the terms of the Lease, Defendants

are under a duty to maintain the SUBJECT PREMISES and its surrounding areas in good repair and condition, specifically, but not limited to the foundation, structure, bathrooms, surrounding areas, HVAC, plumbing, septic system, etc.

101. Defendants further owed Plaintiffs a

duty, by contract, statute, Civil Code §1941.1, or otherwise, to adequately and properly maintain and keep the SUBJECT PREMISES in good repair, including, but not limited to, the sewage/septic system, electrical system, foundation, drainage, bathrooms, HVAC systems—and prevent rodent invasion and mold infestation—in compliance with applicable building, safety, and health codes,

and to otherwise maintain the SUBJECT PREMISES in a tenantable condition.

102. Plaintiffs have, in good faith,

performed all of their obligations and duties as Tenants under the terms and

provisions of the Contract, except where excused or otherwise rendered

unnecessary due to estoppel principles, waiver or other reason.

103. In violation of their promises and

obligations under the LEASE and governing law, said Defendants, through no

fault or cause of Plaintiffs, have breached the LEASE since September 2019 on a

continuing basis by, among other things, failing to properly maintain, repair,

replace, and restore the living and surrounding area of the SUBJECT PREMISES,

as described in the General Allegations of this Complaint by, without

limitation, failing to adequately and properly maintain and repair the SUBJECT

PREMISES in compliance with applicable building, safety, and health codes,

including, but not limited to, the sewage/septic system, electrical system,

foundation, drainage, bathrooms, HVAC system, rodent deterrence mold

infestation. All matters which interfere with Plaintiffs' health and safety.

104. Defendants have been placed on actual

and constructive notice of the items of failed maintenance and repair at the

SUBJECT PREMISES, including, but not limited to, the sewage/septic system,

electrical system, foundation, drainage, bathrooms, HVAC systems, rodent

invasion, and mold infestation, as well as the matters that fail to be in compliance with applicable building, safety, and health codes; and/or cause the SUBJECT PREMISES to be uninhabitable and interfere with Plaintiffs' right to Quiet Use and Enjoyment of the SUBJECT PREMISES. Despite this, said Defendants have failed and refused to correct the problems.

105. Defendants' committed acts and omissions

interfere with and violate Plaintiffs' contractual right to a habitable environment as well as legal right to quiet enjoyment and use of the property and constitute a further breach of the LEASE.

106. In further violation of their promises

and obligations under the LEASE and governing law, said Defendants have breached the LEASE by failing to comply with the TENANT PROTECTIONS ACT (County Code Sections 8.52.130 and 8.57.100), the Resolution Of The Board Of Supervisors Of The County Of Los Angeles Further Amending And Restating The County Of Los Angeles Covid-19 Tenant Protections Resolution (LACo.TPR), and as expanded by Article 14.6, Chapter IV of the Los Angeles Municipal Code, and AB 3088, in the City of LA, and any other COVID RULES, and Civil Code §1941, et. seq.

107. As a direct and proximate result of the

breach of the contract by said Defendants, Plaintiffs have been damaged in an

amount in excess of the jurisdictional minimum of this Court, said amount to be determined at trial, to include, but not be limited to retroactive reimbursement and abatement of all rents and deposits paid, abatement of any further rents, property damage, relocation fees and benefits, penalties, abatement of the nuisance(s) and reasonable fees and costs allowed per contract and statute and additional remedies as allowed by law for a nuisance as set forth in Civil Code §§3479, 3480, and 3481, or otherwise.

108. The parties also agreed to attorneys' fees per contract. Any attempt to limit fees and/or force mediation is unconscionable and amounts to a contractual provision of adhesion as many claims and contentions are not, or should not be, subject to mediation regardless of the effectiveness of such a provision. Further, Plaintiffs have made a good faith attempt to comply with any such provision, however, the provision is too vague, uncertain, overbroad and otherwise inapplicable to determine what is or would be required. Defendants are attempting in bad faith to use such a provision to prevent Plaintiffs' from moving forward with resolution of claims and should be estopped from using such provision to inhibit Plaintiffs' pursuit of legal remedies and deny Plaintiffs' the right to a jury trial. Such limitations should be disregarded by this Court and entitle Plaintiffs to a full recovery of fees and costs.

(SAC

¶¶ 13-14, 96-108.)

Plaintiffs allege that they entered

into a lease agreement with Madison, whom Grozdich is an alter ego of, which

Grozdich breached by virtue of the uninhabitable conditions that have persisted

at the subject property, despite Plaintiffs either performing all obligations

under the Lease or being excused from performing all obligations under the

Lease, resulting in Plaintiffs' damages.

Therefore, the Court finds that Plaintiffs

have adequately stated a cause of action against Grozdich for breach of lease

agreement. Whether Grozdich is actually

Madison's alter ego for purposes of liability under the lease is a factual

question to be resolved at later stages of the litigation.

vi.

Sixth Cause

of Action – Promissory Estoppel

Regarding Grozdich (as Doe 32), Plaintiffs

assert as follows:

110. As set forth herein under paragraphs 16

through 23, of this Complaint, in or around June of 2018, representations and

clear and unambiguous promises were made by Defendants BROIDA, DWYER, KIM, E.

BROIDA (sued and served as DOE 31 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 31-35 regarding (1) the condition and value of the SUBJECT PREMISES; (2) the exclusive right to future ownership interest to Plaintiffs, and (3) payment to FLYNN for due diligence services. (Collectively "PROMISES.")

111. Prior to entering into an agreement

regarding the SUBJECT PREMISES, on or about May 31, 2018, plaintiffs verbally requested a Lease/Option to Purchase Contract the Real Estate agent for the property. This request was later confirmed in writing. Said agent stated that it would be "too complicated" for her to write at this time and

really wanted to move the rental agreement along. She also stated that it would be "ethically premature" to request a formal purchase clause addition to the existing agreement, in light of Mrs. Broida's current state and grief over an accident her husband had had. She stated that it should be verbally discussed

with and approved by Tara verbally during an in- person meeting schedule for the following week. (Actual date of meeting was on June 19th, 2018.)

112. On or about June 19th 2018, a very

distressed Mrs. Broida said she was focused on her husband getting better so the parties verbally agreed, as suggested by Mrs. Broida's real estate agent,

that pending his recovery, a formal document would be deferred, and instead all approved and ongoing property improvements made by plaintiffs would be considered "capital contribution improvements" as "equitable interest" for any future purchase price. Plaintiffs have operated under that understanding since that date. Requirements for plaintiffs to perform work and "capital contribution improvements" to the property have been addressed (in writing) since June 20th, 2018 (4 days before plaintiffs occupied the property).

113. Based thereon, Plaintiffs entered into a LEASE on June 24, 2018, with MADISON with the intent to purchase the property per the representations and promises of Defendants and continued with renting such property in expectations of the promises being kept. This intent of the parties to proceed in this manner, and to allow for purchase of the SUBJECT PREMISES by plaintiffs was manifest by the parties not including an integration clause in the Lease Agreement.

114. In further reasonably relying thereon, plaintiffs invested a substantial amount of time, money and resources in making repairs and improvements to the SUBJECT PREMISES which cut significantly into their work days and billable hours. No reimbursement was requested or offered because plaintiffs reasonably relied on the stated promises that these efforts

would be taken into consideration for final purchase, and plaintiffs believed the improvements, repairs, and services provided were for the benefit of their future home.

115. On or about March 4th, 2020 DWYER stated

the use of a different real estate agent, Bounce Williams, was "only a

formality" to facilitate the final transaction for plaintiffs. He stated

that the property would need to be listed on the MLS very quickly, but only to

substantiate its "fair market value" on public record. He stated that this

was part of a "specific process" that the parties had to follow, as it was

"required per Bessemer's policy."

116. In furtherance of the intent of the

parties, DWYER cancelled property management services on or around July 09, 2021

and informed the company that FLYNN and ADAMS had already purchased the house.

DWYER informed FLYNN that ongoing, she and ADAMS should handle work and repairs

through him, since plaintiffs were "going to be [it's] future

owners."

117. Beginning on or about April 19th, 2022,

BESSEMER solicited FLYNN as a client. Elizabeth Kim stated that she and DWYER

would be able to "help streamline the property purchase transaction" as a

part of BESSEMER'S proposed client/manager relationship with Flynn. Ms. Kim, a

licensed Broker Dealer, never made any disclosures of any conflict of interest in this proposed relationship or transaction.

118. As a result of the representations and

clear and unambiguous PROMISES and actions of BROIDA (as Co-Trustee of

MADISON), DWYER (as Co-Trustee of MADISON and on behalf of BESSEMER), KIM, E.

BROIDA (sued and served as DOES 21, 31, and 51 as it relates to this

allegation, as an individual and as Co-Trustee of The Madison Family Trust),

and/or agents acting on their behalf, and remaining DOES 1-75 regarding: (1)

the condition and value of the SUBJECT PREMISES; (2) the exclusive right to

future ownership interest to Plaintiffs, and (3) payment to FLYNN for due

diligence services, it was reasonably foreseeable that Plaintiffs would and did

alter their position in entering the subject LEASE and moving into the SUBJECT

PREMISES, as well as investing a substantial amount of time, money and

resources in making repairs and improvements to the SUBJECT PREMISES.

Plaintiffs have incurred costs, expenses, and made decisions that now affect

their equitable interests, future residency, work positions, childcare needs,

schooling choices, and alternative real estate opportunities all to their

detriment and loss

(SAC

¶¶ 110-118.)

Thus, as to Grozdich (as Doe 32), Plaintiffs

sufficiently allege that they relied on Grozdich's promises concerning the habitability of the premises in entering into the lease agreement, to their detriment.

vii.

Ninth Cause

of Action – Breach of Duty of Good Faith and Fair Dealing

“Implied in every contract is a covenant of good faith and fair dealing.

The implied covenant prevents one side from unfairly frustrating the other's right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming breach must allege the defendant's wrongful conduct was contrary to the contract's purpose and the parties' legitimate expectations.” (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Because the covenant is a contract term, in most cases compensation for its breach is limited to contract rather than tort remedies. (Kransco v. American Empire Surplus Lines Ins. Co. (2000) 23 Cal.4th 390, 400.)

Here, Plaintiffs allege against Grozdich (as Doe 112):

151. The LEASE and PROMISES of Defendants

constitute valid contract(s) in writing, orally, and through actions, between

Plaintiffs and Defendants BROIDA (as Co-Trustee of MADISON), BURSTIN (as Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (as Co-Trustee of MADISON), E. BROIDA (sued and served as DOE 111 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 111 through 125 that are enforceable.

152. Inherent in Plaintiffs' agreement(s)

with Defendants BROIDA (as Co-Trustee of MADISON), BESSEMER (as Co-Trustee of MADISON), and DOES 111 through 125 is a covenant of good faith and fair dealing whereby Defendants BROIDA (as Co-Trustee of MADISON), BESSEMER (as Co-Trustee of MADISON), E. BROIDA (sued and served as DOE 111 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 111 through 125 promise to deal with Plaintiffs in good faith so as not to deprive them of the benefits of their agreement(s).

153. The LEASE and PROMISES vest(s)

Defendants BROIDA (as Co-Trustee of MADISON), BESSEMER (as Co-Trustee of MADISON), E. BROIDA (sued and served as DOE 111 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 111 through 125 with the duties and responsibilities to do the following: (1) allow Plaintiffs the exclusive right to purchase the SUBJECT PREMISES; (2) provide the SUBJECT PREMISES in sellable and marketable

condition; (3) provide the SUBJECT PREMISES in a habitable, safe, structurally stable, and sound condition in compliance with all building and safety codes, among other things; and (4) pay FLYNN her fees and costs associated with her “due diligence.”

154. Defendants BROIDA (as Co-Trustee of MADISON), BESSEMER (as Co-Trustee of MADISON) through the actions of DWYER, KIM, and BURSTIN as alleged herein on behalf of BESSEMER, E. BROIDA (sued and served as DOE 111 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 111 through 125, have breached the implied duty of good faith and fair dealing, and abused the trust and vulnerability of Plaintiffs, through manipulation of matters within their sole control, for the purpose of preventing Plaintiffs from receiving the benefits to which Plaintiffs are entitled under The LEASE and PROMISES, or proceeding with their intended desires. Said defendants fail and refuse, without limitation, to: (1) refrain from conduct designed to harass and intimidate plaintiffs into leaving the SUBJECT PREMISES so as to extinguish the exclusive right to purchase the SUBJECT PREMISES as promised to plaintiffs; (2) correct the title and the tax basis for the property so as to provide the SUBJECT PREMISES in sellable and marketable condition; (3) repair and maintain the SUBJECT PREMISES in a habitable, safe, structurally stable, and sound

condition in compliance with all building and safety codes, among other things;

(4) pay FLYNN her fees and costs associated with her "due diligence" so as to

add financial pressure to force plaintiffs to leave the premises; and, (5)

correct issues reported to defendants by FLYNN to avoid placing FLYNN in a

position of conflict of interest so as to create financial stress to force

plaintiffs from the property.

155. Plaintiffs have, in good faith,

performed all of their obligations and duties under the terms and provisions of

the LEASE and PROMISES.

156. All conditions, if any, required for

Defendants' performance had occurred, or are excused, waived, or otherwise

unnecessary as Defendants are estopped from taking a contrary position that

would result in an unjust enrichment to said Defendants.

157. As a direct and proximate result of said

Defendants' breach of the implied covenant of good faith and faith dealing,

Plaintiffs have been damaged in an amount in excess of the jurisdictional

minimum of this Court, said amount to be determined at trial.

(SAC

¶¶ 151-157.)

Therefore, the Court determines that

Plaintiffs adequately allege a breach of the covenant of good faith and fair dealing as to Grozdich.

viii.

Thirteenth

Cause of Action – Unfair Competition Law

Business and Professions Code

section 17200, known as the Unfair Competition Law, or “UCL,” bars unfair competition, defined as “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code.

“An ‘unlawful’ business practice or act within the meaning of the UCL is an act or practice, committed pursuant to business activity, that is at the same time forbidden by law.” (Bernardo

v. Planned Parenthood Federation of Am. (2004) 115 Cal.App.4th 322,

351.) “By proscribing ‘any unlawful’

business practice, section 17200 borrows violations of other laws and treats

them as unlawful practices that the unfair competition law makes independently

actionable.” (Cel-Tech

Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20

Cal.4th 163, 180.) Moreover, “a practice

may be deemed unfair even if not specifically proscribed by some other

law.” (Ibid.)

In order to have standing to bring a UCL claim, a plaintiff must “(1)

establish a loss or deprivation of money or property sufficient to qualify as

injury in fact, i.e., economic injury, and (2) show that that economic injury

was the result of, i.e., caused by, the unfair business practice or false

advertising that is the gravamen of the claim.”

(Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 322.)

Here, Plaintiffs assert the

following against Grozdich (as Doe 127):

184. Beginning at an exact date currently

unknown to Plaintiffs, but at all times relevant herein, Defendants BROIDA (as

Co-Trustee of MADISON), BURSTIN (as Co-Trustee/CoSuccessor/Co-Conservator of

MADISON), BESSEMER (as Co-Trustee of MADISON), ETB, E. BROIDA (sued and served

as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as

an individual and as Co-Trustee of The Madison Family Trust), and remaining

DOES 1 through 130 have committed acts of unfair business practices competition,

proscribed by Business and Professions Code §§17200, et seq., including the

practices referred to above.

185. California Business and Professions Code

§17200 et seq., ("Section 17200"), also known as the California Unfair

Competition Law ("UCL"), prohibits acts of "unfair competition," including any

unlawful, unfair, fraudulent or deceptive business act or practice.

186. Said Defendants violated Section 17200

by their: (1) disregard of the COVID RULES enumerated herein; (2) statutory

violations as set forth in the First Cause of Action of this Complaint; (3)

fraudulent activities as set forth in the Sixth and Seventh Causes of Action

herein; (4) engagement in improper and/or illegal property transfers; (5)

failure to maintain a habitable, safe, or tenantable premises in violation of

Health & Safety Code §§ 17920.3, 17920.10, and 18200, et seq.; (6)

violation of Civil Code §1941 et. seq.; and, (7) all other improper, illegal or

otherwise wrongful conduct referenced throughout this complaint.

187. As a direct and proximate result of the

unlawful, unfair and deceptive business practices of said Defendants,

Plaintiffs have been injured as described in the respective causes of action

hereinabove.

188. As a direct and proximate result of said

Defendants' unlawful, unfair and deceptive business practices, Defendants have

been unjustly enriched and should be ordered to make restitution to Plaintiffs

pursuant to Business and Professions Code §§ 17203 and 17204 to include, but not be limited to all rent payments made or to be made, all deposits made, all monies and the reasonable value of time expended exercising “due diligence” at the direction of BESSEMER, monies paid to repair the Subject Premises; monies expended to repair or replace personal property, monies expended for alternative living arrangements, monies expended for health care, and lost profits.

189. The wrongful conduct of Defendants

BROIDA (as Co-Trustee of MADISON), BURSTIN (as Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (as Co-Trustee of MADISON), ETB, E. BROIDA (sued and served as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 130 should be redressed by equitable relief, through issuance of an injunction and an order requiring Defendants, including E. BROIDA (sued and served as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 130 to make restitution.

190. The unlawful, unfair and fraudulent

business practices of Defendants BROIDA (as CoTrustee of MADISON), BURSTIN (as

Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (as Co-Trustee of MADISON), ETB, E. BROIDA (sued and served as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 130 described herein present a continuing threat to Plaintiffs, in that Defendants persist and continue to engage in these practices, and will not cease doing so unless and until forced to do so by this Court. The conduct is causing, and will continue to cause, irreparable injury to Plaintiffs and members of the public unless enjoined or restrained.

191. The unlawful, unfair and fraudulent business practices of Defendants BROIDA (as CoTrustee of MADISON), BURSTIN (as Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (as Co-Trustee of MADISON), ETB, E. BROIDA (sued and served as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 130 herein present a continuing threat to members of the public in that said Defendants persist and continue to engage in these practices, and will not cease doing so unless and until forced to do so by this Court.

(SAC

¶¶ 184-191.)

Therefore, the Court finds that

Plaintiffs allege unlawful, unfair, and/or fraudulent conduct sufficient to

state a claim against Grozdich under the Unfair Competition Law.

ix.

Fourteenth

Cause of Action – Intentional Infliction of Emotional Distress

To

prevail on a cause of action for Intentional Infliction of Emotional Distress

(“IIED”), a plaintiff must plead and ultimately prove: “(1) extreme and

outrageous conduct by the defendant with the intention of causing, or reckless

disregard of the probability of causing, emotional distress; (2) the

plaintiff’s suffering severe or extreme emotional distress; and (3) actual and

proximate causation of the emotional distress by the defendant’s outrageous

conduct.” (Hughes v. Pair (2009) 46 Cal.4th 1035, 1050-1051.) A

defendant’s conduct is outrageous when “it is so extreme as to exceed all

bounds of that usually tolerated in a civilized community.” (Ibid.

[cleaned up].) Further, the

defendant’s conduct must be “intended to inflict injury or engaged in with the

realization that injury will result.” (Id. at p. 1051 [cleaned up].) “Severe emotional distress means emotional

distress of such substantial quality or enduring quality that no reasonable

person in civilized society should be expected to endure it.” (Ibid.)

Here, Plaintiffs allege the

following against Grozdich (as Doe 132):

197. The relationship of the parties as

alleged herein gives rise to a duty to exercise due care by Defendants BROIDA

(individually and as Co-Trustee of MADISON), BURSTIN, (individually and as

Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (individually and

as CoTrustee of MADISON), ETB, DWYER, KIM, and DOES 131 through 140 towards

Plaintiffs.

198. The acts or failure to act by Defendants

BROIDA (individually and as Co-Trustee of MADISON), BURSTIN (individually, and

as Co-Trustee/Co-Successor/Co-Conservator of MADISON), BESSEMER (individually

and as Co-Trustee of MADISON), ETB, DWYER, KIM and DOES 131 through 140 as set

forth herein constitutes a breach of duty.

199. Defendants’ conduct mentioned above, as

alleged in this amended complaint, was extreme and outrageous, deliberate, and

willful and done in reckless disregard of causing Plaintiffs emotional

distress.

200. As a proximate result of said

Defendants’ conduct and the consequences proximately caused by it, as

hereinabove alleged, Plaintiffs suffered severe humiliation, mental anguish, and emotional and physical distress, and has been injured in mind and body as set forth above to Plaintiffs' damage in an amount to be proven at the time of trial.

201. As a further direct and proximate result of this conduct, and the emotional distress suffered as a consequence, Plaintiffs expect to incur additional expenses to Plaintiffs' damage in an amount to be proven at the time of trial.

202. Defendants' conduct as stated herein was oppressive and malicious within the meaning of Civil Code §3294 in that it was willful and with conscious disregard of Plaintiffs' rights and safety and in that it subjected Plaintiffs to cruel and unjust hardship in conscious disregard of Plaintiffs' rights. Plaintiffs are thus entitled to an award of punitive damages in an amount appropriate to punish and make an example of Defendants.

(SAC

¶¶ 197-202.)

Here, lying about the habitability of the premises, while knowingly allowing sewage water to build up and pool inside the premises, if true, could constitute extreme and outrageous conduct

sufficient to support a cause of action for intentional infliction of emotional

distress. As such, the Court finds that

the claim against Grozdich is sufficiently pled.

X.

Fifteenth

Cause of Action – Declaratory and Injunctive Relief

“Any person interested under a written instrument, excluding a will or

trust, or under a contract, or who desires a declaration of his or her rights

or duties with respect to another, or in respect to, in, over or upon property

[...] may, in cases of actual controversy relating to the legal rights and duties

of the respective parties, bring an original action or cross-complaint in the

superior court for a declaration of his or her rights and duties in the

premises, including a determination of any question of construction or validity

arising under the instrument or contract.”

(Code Civ. Proc., § 1060.) “The

declaration may be either affirmative or negative in form and effect, and the

declaration shall have the force of a final judgment. The declaration may be

had before there has been any breach of the obligation in respect to which said

declaration is sought.” (Ibid.)

Here, Plaintiffs assert the following against Grozdich (as Doe 132):

204. An actual controversy now exists between

Plaintiffs and said Defendants BROIDA (individually and as Co-Trustee of

MADISON), BESSEMER (individually and as Co-Trustee of MADISON), BURSTIN

(individually and as Co-Trustee/Co-Successor/Co-Conservator of MADISON), ETB,

DWYER, KIM, E. BROIDA (sued and served as DOE 131 as it relates to this

allegation, as an individual and as Co-Trustee of The Madison Family Trust),

and remaining DOES 131 through 150 over their respective rights and obligations

under the LEASE, PROMISES, and COVID RULES, and as a result of the wrongs

committed against Plaintiffs FLYNN and ADAMS, as set out in this Complaint, in

that Plaintiffs contend:

a. That the SUBJECT PREMISES are

uninhabitable, unsafe, and/or untenable in violation of Civil Code §1941,

et.seq., various tenant protection statutes, and the COVID RULES identified

herein;

b. That due to the uninhabitable,

untenable, and/or otherwise unsafe condition of the SUBJECT PREMISES

Plaintiffs are entitled to abatement and/or restitution of all rent payments

and deposits made or to be made, monies expended to repair or replace personal

property, monies expended for alternative living arrangements, monies expended

for health care, and lost profits;

c. That due to DEFENDANTS' disregard of the

COVID RULES enumerated herein, the statutory violations as set forth in the

First Cause of Action of this Complaint, and breach of the LEASE and PROMISES,

Plaintiffs are entitled to statutory penalties, monies expended to repair or

replace personal property, monies expended for alternative living arrangements,

monies expended for health care, and lost profits;

d. That based upon the PROMISES made by

Defendants in the Fifth Cause of Action of this Complaint, Defendants are

estopped from taking a position that would work an unjust enrichment for said

Defendants by denying FLYNN and ADAMS the right to purchase the SUBJECT

PREMISES, in a marketable condition free of defects;

e. That based upon the PROMISES made by

Defendants in the Fifth Cause of Action of this Complaint, Defendants are

estopped from taking a position that would work an unjust enrichment for said

Defendants by denying FLYNN payment for services rendered and costs incurred in

providing "Due Diligence" investigation at the direction of BESSEMER;

f. That based upon the PROMISES made by

Defendants in the Fifth Cause of Action of this Complaint, Plaintiffs are

entitled to specific performance in the transfer of the SUBJECT PREMISES to the

Plaintiffs, in a marketable condition free of defects in the manner in which

the property is held, in good repair;

g. That based upon the PROMISES made by

Defendants in the Fifth Cause of Action of this Complaint, FLYNN is entitled to

specific performance in payment for services rendered and costs incurred in

providing "Due Diligence" investigation at the direction of BESSEMER;

h. That due to the fraudulent activities of

Defendants as set forth in the Sixth and Seventh Causes of Action herein, and

the breach of the PROMISE to sell a marketable property to Plaintiffs,

Defendants are estopped from taking a position that would work an unjust

enrichment for said Defendants by denying FLYNN and ADAMS the right to purchase

the SUBJECT PREMISES, in a marketable condition free of defects or for FLYNN to

be paid for services rendered in providing "Due Diligence" investigation at the

direction of BESSEMER;

i. That Plaintiffs' obligations to perform

under the LEASE have yet to arise due to the failure of Defendants to meet

conditions precedent under the LEASE or COVID RULES;

j. That any actions of Defendants to enforce

rent payments and/or proceed with an Unlawful Detainer Action or attempt to

otherwise evict FLYNN and ADAMS be enjoined for failure of said Defendants to

meet conditions precedent of, or otherwise properly follow, the LEASE or COVID

RULES;

k. That Defendants BROIDA (as Co-Trustee of MADISON), BESSEMER (as CoTrustee of MADISON), ETB, E. BROIDA (sued and served as DOES 21, 31, 51, 76, 101, 111, and 126 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 1 through 130 are estopped from taking a position that (1) this lawsuit and/or any cause of action herein, is in any way premature, not ripe, or otherwise improper because the parties failed to first proceed through with a mediation, and/or that Plaintiffs in any way breached the LEASE as a result thereof; and/or (2) that attorney's fees are in anyway limited under the agreement. That permitting Defendants and/or DOES to take such positions would work an injustice and injury to Plaintiffs as Defendants would thus be permitted to continue and prolong their wrongful conduct.

l. That Plaintiffs are entitled to void the LEASE due to impossibility of performance if so elected

205. FLYNN and ADAMS further contend that Defendants BROIDA, BURSTIN, BESSEMER, ETB, DWYER, KIM, E. BROIDA (sued and served as DOE 131 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 131 through 150 are in breach of the LEASE and PROMISES to which they are parties, and that by

virtue of the actions of said Defendants, FLYNN and ADAMS are entitled to a determination of their respective rights and obligations under the LEASE and/or under other legal principles.

206. FLYNN and ADAMS further contend that all actions taken herein by said Defendants were done with the connivance, aiding and abetting, and in conspiracy with one another, each working in concert with one another, for the benefit of each said Defendant, such that the action by one Defendant was in furtherance of each of the other Defendants making each Defendant jointly and severally liable to Plaintiffs, and that the actions and/or statements of each Defendant were made with the express authority, consent, and ratification of one another in furtherance of the conspiracy to defraud FLYNN and ADAMS.

207. Defendants BROIDA, BURSTIN, BESSEMER, ETB, DWYER, KIM, E. BROIDA (sued and served as DOE 131 as it relates to this allegation, as an individual and as Co-Trustee of The Madison Family Trust), and remaining DOES 131 through 150 contend to the contrary and deny they are obligated to fulfill these duties or that FLYNN and ADAMS have these rights.

208. By virtue of the conditions alleged in this Complaint, Plaintiffs seek a declaration by the Court of their rights and obligations under the LEASE, PROMISES, COVID RULES, and other governing

statutes and laws respecting their rights under the LEASE, rights to purchase the SUBJECT PREMISES, rights to a property in good repair, and the respective duties of Defendants.

(SAC

¶¶ 204-208.)

Therefore, the Court determines that

Plaintiffs have stated a cause of action against Grozdich (as Doe 132) for declaratory and injunctive relief.

C.

MISJOINDER

Grozdoch argues that he has

been mis-joined in this action, because his status as a subsequent purchaser of

the subject property; there is no allegation that he expressly or impliedly

assumed his predecessors' liabilities; there is no continuity of ownership,

management, assets, or purpose; there is no allegation that Grozdich is the

continuation of a prior entity or trust; or his purchase of the subject

property was a fraudulent transaction to escape liability.

To the contrary, as discussed

above, the SAC alleges that Grozdich is a principal, agent, and/or alter ego of

Madison's, and Grozdich made misrepresentations to Plaintiffs in connection

with their entering into the initial lease.

Further, Plaintiffs allege that as the new owner of the property,

Grozdoch continues to knowingly allow the uninhabitable conditions to persist,

in violation of applicable laws.

Whether those allegations are

actually true resolves the resolution of factual issues at later stages of the

litigation.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Grozdoch's demurrer to the

SAC in its entirety, and orders Grozdoch to file and serve an Answer to the SAC

on or before August 5, 2026.

Plaintiffs shall provide notice of the Court's ruling and file the

notice with a proof of service forthwith.

DATED: July 22, 2026 _____/s/ _____

Michael

E. Whitaker

Judge

of the Superior Court

[1] Ultimate facts are those "constituting the cause of

action" or those upon which liability depends, e.g., duty of care, breach of

the duty and causation (damages). (See

Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “[T]he term ultimate fact generally refers to

a core fact, such as an essential element of a claim. Ultimate facts are

distinguished from evidentiary facts and from legal conclusions.” (Central Valley General Hosp. v. Smith

(2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also Rodriguez v. Parivar,

Inc. (2022) 83 Cal.App.5th 739, 750–751 [“The elements of a cause of action

constitute the essential or ultimate facts in a civil case”].)